

Management Message

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With the results of our reforms
now steadily materializing,
in 2022 we will seek even further
progress while carrying on the
legacy of Tokyo 2020.

Review of 2021

The results of reforms are powerfully reflected in business performance

Last year I mentioned that in Mid-Term Plan 2023, we would aspire to reforms that involve "digging deep and jumping high." It turned out that in 2021, the results of past reforms were strongly reflected in our business performance, making it a year in which we built solid foundations toward future growth. Our biggest accomplishment was seeing through our role as a Gold Partner to the Tokyo 2020 Games. This filled us with a great deal of confidence. Despite almost no opportunities for merchandise sales at venues due to events being held without spectators, over the course of the Games we managed to draw global attention to the ASICS brand through the media. We also saw positive business performance. Net sales returned to the 400 billion yen range and operating income broke 20 billion yen for the first time in five years, with each profit metric going back into positive territory.

The health-conscious movement will continue in a post-COVID world

Looking at the business environment, although we have still not overcome COVID-19, rates of participation in sports such as walking and running have risen above pre-pandemic levels, against a backdrop of rising health consciousness. ASICS' future vision of ensuring a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically (Lifetime Athletes in All of Us) is also riding this global trend of health awareness, and we expect that when restrictions under the pandemic are eliminated, this movement will gain even greater momentum.

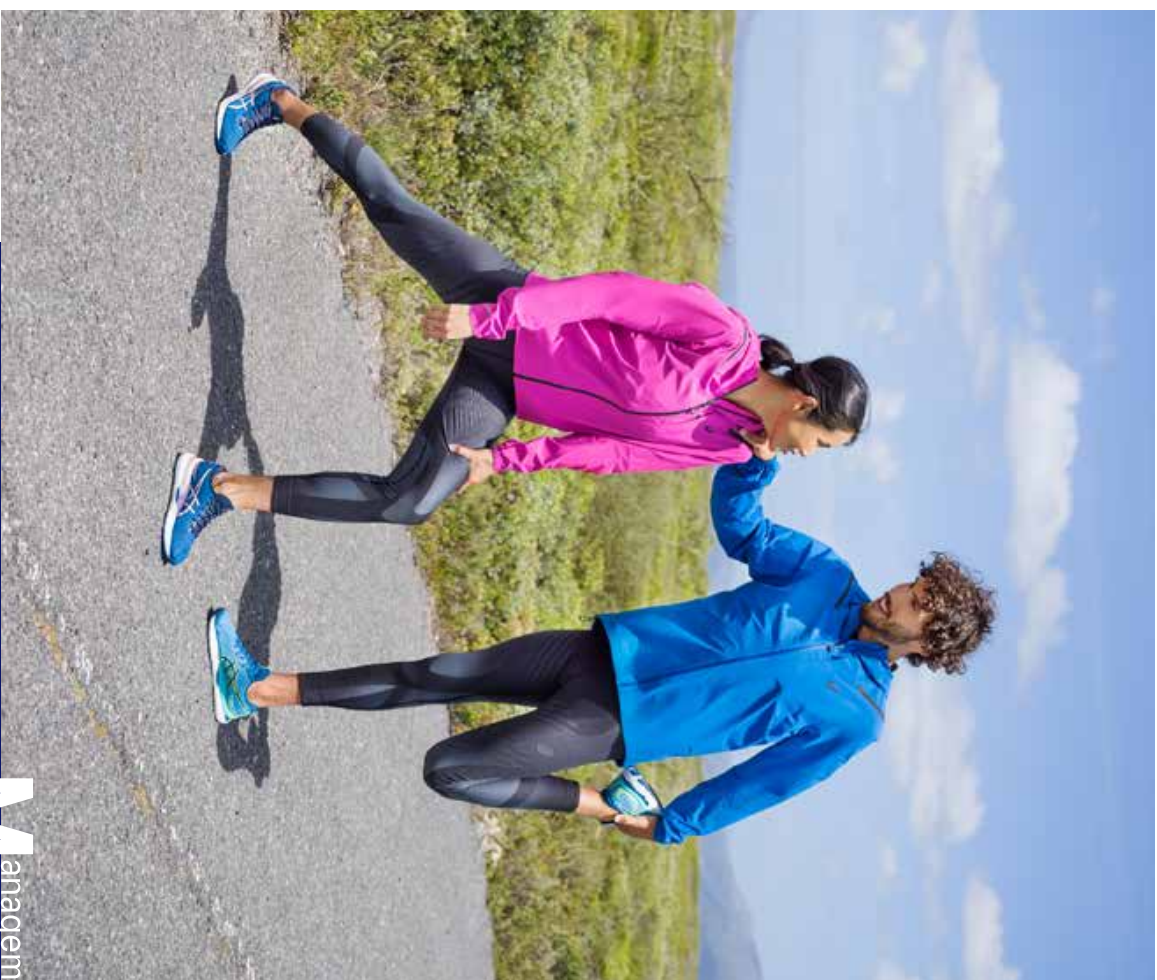
Due to the spread of COVID-19 infections, last year ASICS temporarily suspended operations at its Vietnam factory, which accounts for almost half of its total production, but even when these risks materialized, we managed to secure profits by swiftly implementing measures such as reducing low-profit items and revising inventory. There are many other risks lurking in supply chains, but we will take proper measures and seize upon the significant growth opportunities that tailwinds bring.

Category strategies, winning in the realm of performance running

With "winning at performance running" positioned as our top priority, we have expanded our product lineup of shoes that meet all manner of runner needs. As a result, in 2021 we saw strong growth in the performance running category, recording an increase of 30% year on year. METASPEED™, our speed-focused model for top athletes, even helped some top athletes on the way to achieving personal bests.

Aiming to recapture the leading position among top athletes

METASPEED™ is a strategic product that is part of the Chojo Project (C Project) designed to recapture a leading market share in the area of top athletes. The shoes even received an award from the world's most prestigious running magazine. At the New Year Ekiden and Hakone Ekiden held in January 2021, we faced the frustrating experience of zero athletes competing in ASICS shoes, but this year we earned the support of over 10% of athletes, and managed to impress the world with the beginnings of ASICS' counterattack. Seeing success from the C Project has led to improved confidence and unifying force on our part, and we are committed to breaking our competitors' stranglehold in the area of top athletes by releasing new products with improved functionality.



Current status and future of the global portfolio

Over 75% of ASICS' sales come from overseas. Operations in Australia and Europe are highly profitable, followed closely by China, and although operations in Japan and the US have moved into the black, further improvements to profitability remain as an issue. Of all these regions, ASICS is focused on product strength and attentive sales in the US, a dominant country in the running world where it aims to achieve a leading market share.

Passing on the legacy of the Tokyo 2020 Games to future generations

The Tokyo 2020 Games are over, and efforts have gotten underway to pass on insights gained from the experience as a legacy for future generations. One of these is Para Sports. If ASICS is serious about striving to ensure a world in which each and every one of us can engage in exercise and sports throughout our lives and continue to live in good health, both mentally and physically, it must make a full-fledged commitment to Para Sports. I personally have experience serving as a guide runner for a blind marathon athlete, and believe that we can gain insights and new lessons by deepening our understanding of Para Sports and people with disabilities. With the Para Sports Planning Department that was newly established this year playing a central role, we will start by considering development based around running and walking.

Another of these insights is to do with new sports. Among these, starting this year ASICS will make a full-scale entry into the US markets in addition to Japan for skateboarding, whose competitive population is expected to grow in the future. Skateboarding is a sport that involves split-second skills and is the subject of a thriving area of digital analysis. By combining its technologies in many ways, ASICS will be able to create value that goes beyond the conventional provision of products, including in the area of facilities & community digitally providing locations and communities for people to enjoy sports, and the area of analysis & diag-



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nosis involving the provision of analysis and diagnostic findings using data obtained from those activities. Beyond the fusion of sport and digital technologies, we also hope to develop the new world of e-sports. We also aim to further expand the scope of the C Project that has to date focused on middle and long distances in track and field in a serious attempt to reach the pinnacle of performance in short distance and sprinting categories as well. We have begun developing new products and signing deals with athletes, aiming to reach the summit together with athletes who have the ability to make the podium in international competition for track and field's highest profile event, the 100-meter sprint. In Japan, the support culture of TEAM RED that was cultivated during the Tokyo 2020 Games and the SUNRISE RED attire worn by Japanese Olympic athletes will continue to be passed down in the future. We will weave a legacy for the next generation in terms of both products and branding to ensure the idea that "ASICS is associated with the Olympics and Paralympics" firmly takes root.





Towards medium and long-term growth

Switching to management based on digital technologies

In Mid-Term Plan 2023 formulated to achieve the long-term VISION 2030, ASICS has positioned digital strategy as one of its strategic goals. While continuing to emphasize the need to cash in on our existing businesses, we will seek to maximize efficiency gains and profitability across the supply chain with new business development and new business models with digital at their core.

Working from a base of more than 5.8 million members (as of February 28, 2022) on our free membership-based service OneASICS™, we will organically link the smartphone-based exercise recording app Runkeeper™ used in about 250 countries and regions around the world with the Race Roster race sign-up platform mainly used in the US and Canada and the Register Now race sign-up platform in Aus-

tralia. Together with these services, we will form a worldwide running ecosystem providing services to runners, including through Runmetrix, which uses sensor technologies to measure running in real time and provide coaching, and Shoe Finder, which recommends shoes that are best for each individual based on their running style and images of their feet taken with a smartphone. In addition, in 2021 we launched ASICS STEPNOTE, an app-based service that measures the size of small children's feet and predicts their growth to recommend the right shoes, reflecting our efforts to also develop a kids ecosystem. To make this running ecosystem a reality, we will need to foster and instill an organizational culture that thinks of everything in digital terms. We will transform ASICS into a digitally-driven company by appointing human resources from the digital native generation and re-skilling employees.



Sustainability is the core of management

Another strategic goal declared in Mid-Term Plan 2023 is sustainability. Sport is a symbol of peace, and sports will not be possible unless a good global environment is preserved. As a sports-related manufacturer, ASICS sees protecting a global environment that enables sports to be synonymous with safeguarding its own survival as a business.

In terms of consideration for the environment, in 2019 ASICS was the first sports-related manufacturer in the world to indicate support for the recommendations of the Task Force on Climate-related Financial Disclosures (TCFD), and to achieve the goal of reducing our CO₂ emissions by 63% compared with 2015 levels by the year 2030, we are pursuing the initiatives outlined below.

(1) We are shifting to 100% renewable energy usage at domestic operating sites and promoting a shift to renewable energies at contracted production factories.

(2) We have promoted recycling-oriented production utilizing recycled materials for at least 90% of new shoe products, and are continuing efforts with the ultimate goal of using 100% recycled materials for polyester, a major material used in our products.

(3) In terms of finance, we have issued Japan's first sustainability-linked bonds in which CO₂ emission credits are purchased based on the target achievement levels. Measures to combat climate change are more effective when companies cooperate with one another through teamwork instead of going it alone. Going forward, ASICS will continue to run at the head of the pack and lead the way with sustainable initiatives.

From the perspective of contributing to society, we will work harder to improve working environments for the many skilled workers involved with our shoe manufacturing processes in Vietnam, Indonesia, Cambodia and elsewhere. Since shoes feature many curves, there are many aspects to the manufacturing process that rely on skilled manual sewing work, and retaining skilled workers in these areas is extremely important for maintaining and improving production quality. We have been implementing human rights due diligence activities in our over-

seas supply chains for more than two decades, and have introduced internal reporting systems and developed mechanisms to conduct engagement surveys and other activities simultaneously on a global basis. Each year we conduct technical skills training for more than 60 of our primary, secondary and tertiary suppliers, and also continue efforts to enhance welfare benefits and offer higher wages than our competitors. While being interrupted by the COVID-19 pandemic, I usually visit our manufacturing factories once a year to speak with factory managers and check working conditions on-site. To ensure that ASICS is the choice for multiple stakeholders, including employees and customers, sustainability is the core of management.

Diverse human capital fosters innovation

The employees of our sales companies and manufacturing factories working around the globe represent vital human capital. We have introduced a common global human resource grade system and competencies as part of efforts to enhance our human resources around the world.

As a company where human resources of all different backgrounds including gender, nationality, culture, age and career path gather, ASICS engineers new insights and creative ideas by having people with diverse values share and discuss their opinions with one another. We also actively invest in education to develop our human resources. Developing the next generation of successors is a pressing issue. HR Committee established in July 2021 deals with human resource development systems and also discusses the placement of candidate successors selected from the global pool of human resources.



Digitally minded human resources are the subject of intense competition for recruitment. At ASICS, some 400 digitally-literate human resources collaborate organically in Boston (headquarters of ASICS Digital), Toronto (Digital Strategy Development Division) and Amsterdam (IT Headquarters) with a sense of speed and sensitivity to human rights, leading the way in fostering and enhancing the digital mindset of all employees.

Making 2022 a breakthrough year!

In 2022, the uncertain management environment is ongoing, with the prolonged COVID-19 pandemic, Russia's invasion of Ukraine and other developments. But on the starting line for ASICS is a solid foundation built through past reforms, and I believe that 2022 will be a breakthrough year for us. By "breakthrough" I don't mean rapid growth as a result of something accidental; I envisage significant growth as a result of all our efforts to date.

As the world changes, so will the way sports are played, enjoyed and supported. ASICS will continue to pass down its founding philosophy of "a sound mind in a sound body" ("Anima Sana In Corpore Sano") and the "Sound Mind, Sound Body" brand tagline while providing products and services that are valuable to all sports enthusiasts and stakeholders involved with ASICS' businesses through reforms consistent with the today's digital revolution. As a member of top management, I promise that we will seize upon changes in the times and major opportunities, engage in sound and transparent management, and enhance corporate value sustainably in the long term.

I hope that all of our stakeholders will look forward to seeing the ASICS Group achieve significant growth through the actions we take in line with the strategies and policies we have set forth.

